

Management from IMD Business School Lausanne, Switzerland.

“The challenge with Jaisalmer is its location. To overcome this, we are setting up split grinding units in Bikaner in Rajasthan, as well as in Punjab, because they also consume ash, which is a waste generated from thermal power. This gives us a better footprint,” he says.

Along with expansion, keeping costs in check and expanding at the right capex per tonne is also essential. JK Cement is implementing several greenfield and brownfield projects and has added most of its capacity at an average of \$70–75 a tonne. This is much lower, Singhania says, than acquisitions, which happen at about \$120 per tonne. The replacement cost of setting up a greenfield plant is \$90 per tonne and for brownfield projects it is \$50–60. The expansion has improved efficiency. Now, just 2–3% of the company’s capacity is old, which ensures that power and fuel efficiencies are on a par or better than the industry average, says Singhania.

Apart from this, the company is optimistic about its adjacent businesses of construction chemicals and paints, which the company expects will account for at least 15–20% of its top line going forward, though grey cement will remain the core business.

JK Cement is already well-known in white cement, being the third-largest producer globally. “We are among the top three wall putty producers in the country. As a product, it is sold through the paint channel, and applied by the painter. With paint companies entering putty, the logical conclusion was to give the full solution and own a larger part of the wall,” says Singhania, explaining the decision to enter paints.

In December 2022, the company acquired a 60% stake in Acro Paints. At that time, Acro had a top line of ₹60–70 crore. It eventually acquired 100% stake and it became a wholly owned subsidiary of JKMaxx Paints. This year, it expects net sales of about ₹400 crore from the paints business, says Singhania.

The other adjacency is construction chemicals, which includes tile adhesives under the JKTYLO brand and waterproofing under the JK Profix brand. While earlier tiles required putting cement, with changes in the size of the tiles, specific cement-based adhesives are used now. So, it was a natural extension for JK Cement, says Singhania.



PUSHING AHEAD

- **Cement demand continues to rise with the government’s focus on capex and infra**
- **JK Cement has inaugurated a facility in Buxar to meet local demand in Bihar**
- **About 95% of the company’s capacity is new and fuel efficient**
- **It bought a 60% stake in Saifco Cements to establish operations in Srinagar, J&K**
- **It has announced a 7 mtpa expansion in Bikaner, Rajasthan**

22 per cent Grey cement sales volume growth in Q3FY26

290 kilogram Per capita consumption of cement in India

28.26 mtpa Grey cement capacity at the end of Q3FY26